Question #1 of 20

Question ID: 1675634

Steve Waters, a Level I CFA candidate, has decided to enter into a long position of Farmco stock. Because Farmco is thinly traded, Waters is concerned the order will overwhelm the liquidity of Farmco and the price will surge. Waters engages in a series of block trades to accomplish the purchase. According to Standard II(B): Market Manipulation, Waters has engaged in:

A) transaction-based manipulation, but not information-based manipulation. ✗

B) neither transaction-based manipulation nor information-based manipulation. ✓

C) both transaction-based manipulation and information-based manipulation. ✗

Explanation

Waters is not in violation of Standard II(B): Market Manipulation. Transaction-based manipulation includes, but is not limited to, transactions that artificially distort prices or volume. Information-based manipulation includes, but is not limited to, spreading false rumors about a firm to induce others to trade.

(Module 20.3, LOS 20: II(B))

Question #2 of 20

Question ID: 1675619

Roberta Conn is an investment advisor who has a client, Ernie Ray, who is a tax lawyer. At lunch, Conn noticed Ray and the chief financial officer of CDH Company at the next table. She overhears them talking and ascertains that CDH is about to announce higher-than-expected earnings. Before the earnings release, Ray contacts Conn and asks her to purchase 3,000 shares for his portfolio. Conn:

A) can purchase shares for Ray, but cannot ever purchase shares for her personal account. ✗

B) must refuse to purchase the shares for Ray. ✓

C) must wait until after she purchases the 3,000 shares for Ray to purchase shares for her personal account. ✗

Explanation

According to Standard II(A): Material Nonpublic Information, Conn cannot act or cause others to act on material nonpublic information until the information is made public. The information overheard at lunch was material and nonpublic; therefore, Conn must wait until the information is made public before accepting Ray's order.

(Module 20.3, LOS 20: II(A))

Question #3 of 20

Question ID: 1675638

Ron Taylor, a Level I CFA candidate, trades cotton contracts for a small commodity broker. Taylor convinces a government cotton inspector to issue a warning that the Texas cotton crop is in danger from insect infestation. The price of cotton soars. Taylor immediately shorts cotton futures. Once the position is created, the government inspector issues a second report reversing his original opinion, and cotton prices plummet.

Cedric Sims, a Level III CFA candidate, would like to generate a tax loss on a security held in his personal portfolio; however, he believes the security has significant upside potential. To avoid the wash sale provisions of the income tax code, Sims sells the security and simultaneously creates a synthetic long position using derivatives.

Regarding Standard II(B): Market Manipulation, which of the following statements concerning Taylor's and Sims's conduct is correct?

A) Neither Taylor nor Sims is in violation of Standard II(B). ✗

B) Both Taylor and Sims are in violation of Standard II(B). ✗

C) Taylor is in violation of Standard II(B), but Sims is not in violation. ✓

Explanation

Taylor is in violation of Standard II(B): Market Manipulation by creating a scheme that caused others to trade on false information. Sims is not in violation of Standard II(B). The Standard does not prohibit transactions conducted for tax purposes.

(Module 20.3, LOS 20: II(B))

Question #4 of 20

Question ID: 1675628

Regarding nonpublic information, which one of the following statements is not correct?

A) Disclosing material nonpublic information would have an impact on the price of a security or be of interest to a reasonable investor. ✗

B) A member can be summarily suspended for having received material nonpublic information. ✓

C) An analyst may use some types of nonpublic information. ✗

Explanation

All of these are true, except that a member can be suspended for having received material nonpublic information. The member can receive such information as part of their regular duties, or by accident. Neither is punishable in and of itself, and penalties only apply if the member trades or causes others to trade on the information. The member may have certain duties, such as trying to disseminate the information after receiving it. An analyst may use *nonmaterial* nonpublic information.

(Module 20.3, LOS 20: II(A))

Question #5 of 20

Question ID: 1675629

A stockbroker who is a member of CFA Institute has a part-time housekeeper who also works for the CEO of Festival, Inc. One day, the housekeeper mentions to the broker that she saw the CEO of Festival having a conversation at his home with John Tater, who is a nationally known corporate lawyer and consultant. The stockbroker is restricted from trading on this information:

A) if both the housekeeper says the meeting concerned a tender offer, and the broker knows that it is nonpublic information; and if the broker knows that the meeting is nonpublic information. ✗

B) only if the broker knows that the meeting is nonpublic information. ✗

C) if the housekeeper says the meeting concerned a tender offer, and the broker knows that it is nonpublic information. ✓

Explanation

Standard II(A): Material Nonpublic Information states that "a member cannot trade or cause others to trade in a security while the member possesses material nonpublic information." A tender offer would certainly be material nonpublic information. Knowing that the meeting took place, and nothing else, does not restrict the broker. A reasonable investor would need to know more to determine if the information was material.

(Module 20.3, LOS 20: II(A))

Question #6 of 20

Question ID: 1675621

A CFO who is a CFA Institute member is careful to make his press releases—some of them containing material and previously undisclosed information—clear and understandable to his readers. While writing a new release, he often has his current intern proofread rough drafts. He also sends electronic copies to his brother, an English teacher, to get suggestions concerning style and grammar. With respect to Standard II(A): Material Nonpublic Information, the CFO is:

A) only in violation by emailing the pre-release version to his brother but not the intern, because the intern is, in essence, an employee of the firm. ✗

B) not in violation of the Standard. ✗

C) violating the Standard by either showing the pre-release version to his intern or sending it to his brother. ✓

Explanation

Standard II(A): Material Nonpublic Information says that a member must be careful about handling material nonpublic information. As a member of CFA Institute, the CFO must limit the people who see important information before it is released. It would not be appropriate to involve an intern or a relative in the process.

(Module 20.3, LOS 20: II(A))

Question #7 of 20

Question ID: 1675630

A brokerage firm has a trading department and an investment banking department. Often, the investment banking department receives material nonpublic information that would be valuable in advising the firm's brokerage clients. To comply with the Standards, the firm:

A) should restrict employee trading in securities for which the firm is in possession of material nonpublic information. ✓

B) must divest one of the departments. ✗

C) should record the exchange of information between the investment banking department and the brokerage department. ✗

Explanation

Restricting employee trading in stocks for which the firm has material nonpublic information is the best answer. Recording the exchange of information between the two departments is not the best option because there should be no exchange of information between these two departments. Divesting a department is not a suitable method for addressing this potential problem.

(Module 20.3, LOS 20: II(A))

Question #8 of 20

Question ID: 1675624

Which one of the following *least accurately* describes the CFA Institute Standard about using material nonpublic information?

A) An analyst may use nonmaterial nonpublic information, as long as it has been developed under the mosaic theory. ✗

B) An analyst using material nonpublic information may be fined by CFA Institute. ✓

C) An analyst may violate this Standard by passing information to others, even when it has been obtained from outside the company. ✗

Explanation

There is no provision for CFA Institute to issue fines to members. Members may not use material nonpublic information for trading purposes. Nonmaterial nonpublic information may be used together with analysis of public information under the mosaic theory.

(Module 20.3, LOS 20: II(A))

Question #9 of 20

Question ID: 1675635

Mark Williamson is bearish on ABC Manufacturing Company. Williamson is so convinced that ABC is overpriced that two weeks ago, he shorted 100,000 shares. Today, Williamson is "surfing" several popular investment bulletin boards on the internet and posting false, derogatory comments about company management. According to Standard II(B): Market Manipulation, Williamson has engaged in:

A) information-based manipulation, but not transaction-based manipulation. ✓

B) transaction-based manipulation, but not information-based manipulation. ✗

C) both transaction-based manipulation and information-based manipulation. ✗

Explanation

Williamson is in violation of Standard II(B): Market Manipulation by engaging in information-based manipulation. Information-based manipulation includes, but is not limited to, spreading false rumors about a firm to induce others to trade.

(Module 20.3, LOS 20: II(B))

Question #10 of 20

Question ID: 1675627

Which one of the following constitutes the illegal use of material nonpublic information?

A) Trading immediately after attending the firm's annual shareholders' meeting. ✗

B) Trading on information that your sister, the firm's attorney, told you over dinner. ✓

C) Trading based on your analytical review of the firm's future prospects. ✗

Explanation

Members may not trade on material nonpublic information; therefore, the information conveyed by the firm's attorney may not be used by a member for trading purposes.

(Module 20.3, LOS 20: II(A))

Question #11 of 20

Question ID: 1675631

According to CFA Institute Standards of Professional Conduct, which of the following statements about material nonpublic information is not correct? Information is:

A) nonpublic until it has been disseminated to the marketplace in general. ✗

B) material if reasonable investors would want to know the information before making an investment decision. ✗

C) nonpublic until it has been disseminated to a select group of investors. ✓

Explanation

Standard II(A): Material Nonpublic Information states that information is nonpublic until it has been disseminated to the marketplace in general as opposed to a select group of investors.

(Module 20.3, LOS 20: II(A))

Question #12 of 20

Question ID: 1675636

All of the following are violations of Standard II(B): Market Manipulation except:

A) securing a controlling interest in an equity security to influence the price of a related derivative instrument. ✗

B) exploiting differences in market inefficiencies. ✓

C) disseminating misleading information about the development of new products and technologies.

Explanation

Standard II(B): Market Manipulation prohibits practices that distort prices or artificially inflate trading volumes with the intent to mislead market participants. The Standard is not intended to prohibit legitimate trading strategies that exploit differences in market inefficiencies.

(Module 20.3, LOS 20: II(B))

Question #13 of 20

Question ID: 1675622

A stockbroker who is a CFA Institute member is called on the telephone by the CEO of a large company. The CEO asks to buy shares of the CEO's company for the accounts of the CEO's children. In the course of the conversation, the CEO says this will really pay off when the upcoming takeover goes through. The stockbroker checks her sources and finds no information about the takeover. In this case, the broker should:

A) execute the order for all clients as required by Standard III(B): Fair Dealing.

B) only execute the order in compliance with Standard III(A): Loyalty, Prudence, and Care. Because the client is buying the stock for the children, there is not a problem.

C) do neither of the actions listed here.

Explanation

Doing any of these actions would be a violation of Standard II(A): Material Nonpublic Information. Members and candidates must not act or induce others to act on material nonpublic information.

(Module 20.3, LOS 20: II(A))

Question #14 of 20

Question ID: 1675626

An analyst provides services for a charitable organization and, in return, gets free membership in the organization. Part of her job is to manage the liquid assets of the organization, and those assets include stocks. Her supervisor in the organization calls her and tells her to buy a certain stock for the portfolio based upon insider information from a board member in the organization. The analyst objects, but the supervisor says this is what they have always done and sees no reason for changing now. The analyst complies with the request. With respect to Standards IV(A): Loyalty to Employer, and II(A): Material Nonpublic Information, the analyst violated:

A) only Standard IV(A) requiring duty of loyalty.

B) only Standard II(A) that prohibits insider trading.

C) both Standards IV(A) and II(A).

Explanation

An employee-employer relationship does not necessarily mean monetary compensation for services. Complying with the request is a violation of II(A), which prohibits trading on insider information. Standard IV(A): Loyalty deals with going into business for yourself, leaving an employer and continuing to act in the employer's best interest until their resignation becomes effective, and whistleblowing—which means that the member's interests and their firm's interests are secondary to protecting the integrity of capital markets and the interests of the clients.

(Module 20.3, LOS 20: II(A))

Question #15 of 20

Question ID: 1675625

A CFA Institute member is a citizen of Abdhari and lives and works in Balwalla for a company based in Abdhari. Balwalla has no laws against the use of material nonpublic information. Based on this information, the CFA Institute member may:

A) trade using material nonpublic information.

B) trade using material nonpublic information in Balwalla, but not in Abdhari.

C) not trade using material nonpublic information.

Explanation

CFA Institute Standard II(A) prohibits trading using material nonpublic information. A member may not trade using such information, regardless of the laws of Abdhari and Balwalla.

(Module 20.3, LOS 20: II(A))

Question #16 of 20

Question ID: 1675633

Trude Front, CFA, is a portfolio manager. While she is in the normal course of her duties, she happens to overhear material nonpublic information concerning the stock of VTT Bowser. She purchases several exchange-traded funds that contain VTT Bowser, while shorting similar exchange-traded funds that do not contain VTT Bowser. This is *most likely*:

A) not a violation of Standard II(A): Material Nonpublic Information.

B) a violation of Standard II(A): Material Nonpublic Information.

C) only a violation of Standard II(A): Material Nonpublic Information because Front is simultaneously shorting the funds, which do not contain VTT Bowser.

Explanation

This is a violation of Standard II(A): Material Nonpublic Information, irrespective of whether Front is simultaneously shorting the funds that do not contain VTT Bowser. Her trades are motivated by material nonpublic information.

(Module 20.3, LOS 20: II(A))

Question #17 of 20

Question ID: 1675623

Don Benjamin, CFA, is the compliance officer for a large brokerage firm. He wants to prevent the communication of material nonpublic information and other sensitive information from his firm's investment banking and corporate finance departments to its sales and research departments. The most common and widespread approach that Benjamin can use to prevent insider trading by employees is the:

A) legal list.

B) firewall.

C) Wall Street rule.

Explanation

To comply with Standard II(A), a firewall provides an information barrier that prevents communication of material nonpublic information and other sensitive information from one department to another within a firm.

(Module 20.3, LOS 20: II(A))

Question #18 of 20

Question ID: 1675637

Which of the following is a violation of Standard II(B): Market Manipulation?

A) Overstating an earnings projection to increase the price of a stock. ✓

B) Implementing a trading strategy to exploit differences in market power and information. ✗

C) Engaging in a block trade to limit the effect on the price of a thinly traded security. ✗

Explanation

Standard II(B): Market Manipulation is not intended to prohibit transactions that are done to minimize income taxes or trading strategies that are not intended to distort prices or artificially inflate trading volume. Overstating earnings projections to increase the price of a stock is a direct violation.

(Module 20.3, LOS 20: II(B))

Question #19 of 20

Question ID: 1675632

Andrea Waters is an investment analyst who has accumulated and analyzed several pieces of nonpublic information through her contacts with drug firms. Although no single piece of the information she collected is "material," Waters correctly concluded that the earnings of one of the drug companies would be unexpectedly high in the coming year. According to CFA Institute Standards of Professional Conduct, Waters:

A) may use the information, but only after approval from a compliance officer or supervisor. ✗

B) cannot legally invest or make recommendations based on this information. ✗

C) can use the information to make investment recommendations and decisions. ✓

Explanation

Members who can piece together items of nonmaterial nonpublic information with public information can, based upon the mosaic theory, use such information for trading purposes.

(Module 20.3, LOS 20: II(A))

Question #20 of 20

Question ID: 1675620

Insider trading can be defined as information that is:

A) material and public.

B) material and nonpublic.

C) nonmaterial and nonpublic.

Explanation

Information is material if it would be important to the investor in their investment-making decision. Information is nonpublic if it is not yet available to the public.

(Module 20.3, LOS 20: II(A))